

Summary of: ENTREPRENEURIAL TEAM FORMATION

Abstract

The research paper explores the process of entrepreneurial team formation and its implications for team performance and entrepreneurial success. The authors note that the existing research in this area is fragmented due to different disciplinary perspectives and contexts. To address this, the paper presents a structured content analysis that categorizes the literature based on key questions related to new venture team formation, such as why, how, when, and where entrepreneurial teams are formed. The resulting integrative framework highlights the dynamic nature of the formation process, the origins of new venture teams, primary formation strategies, and their effects on team characteristics, processes, and performance. The authors emphasize the need for integration across disciplines and contexts, as well as the importance of considering the role of founding characteristics, processes, and performance outcomes in shaping the formation stage. They argue that entrepreneurial team formation research has the potential to advance knowledge in the field but has only scratched the surface of its potential.

INTRODUCTION

The introduction of the paper emphasizes the scarcity of great entrepreneurial teams, highlighting their crucial role in driving socioeconomic development. The paper focuses on the process of entrepreneurial team formation, addressing gaps in existing literature. It cites the lack of a comprehensive synthesis of questions related to team formation, the use of singular disciplinary lenses, and examination of formation in singular contexts as areas needing attention. The paper outlines its objectives, including synthesizing the literature, creating a framework to summarize relationships in team formation, and proposing future research directions. It underscores the need for an integrative model that incorporates selection mechanisms and context, and discusses methodological opportunities and challenges for future empirical work. On the practical side, the paper suggests that insights from the review could inform the design of effective programs for entrepreneurs, investors, and social planners to build and mentor entrepreneurial teams.

A STRUCTURED CONTENT ANALYSIS OF ENTREPRENEURIAL TEAM FORMATION LITERATURE

The research paper used a structured content analysis to review the entrepreneurial team formation literature. The authors followed recommended guidelines and criteria for content analysis and built a sample of 69 scholarly articles from 1975 to 2018, focusing on entrepreneurial team formation. The articles were categorized based on their approach, methods, and publication impact factor. The distribution of articles over the past four decades showed an increasing trend in examining entrepreneurial team formation. The authors used a two-step procedure to categorize the articles in the sample, and they established a coding scheme of thematic categories. The content analysis excluded articles that did not directly examine or theorize entrepreneurial team formation, such as those focusing on top management teams and other formation processes. The findings showed that the articles had different methodological approaches, with 32 percent being theoretical, 38 percent qualitative, 26 percent quantitative, and the remaining using mixed methods. The review process also considered the impact factor of the journals where the articles were published. This content analysis provides valuable insights into the trends, approaches, and

methodologies used in entrepreneurial team formation research.

Coding disagreement resolution

In the synthesis and interpreting stages of the research, the authors compared themes within and across articles to identify distinctions and similarities, which informed the subsequent structure of their literature review and the development of an integrative model. They found that themes relevant to elements of entrepreneurial team formation included team origins, formation strategies, context, dynamism, characteristics, processes, and performance. Additionally, they observed that three disciplinary lenses - economics, psychology, and sociology - have been used to theorize and examine entrepreneurial team formation, with economics being the dominant lens over the past 40 years. However, there has been an increase in the use of cross-disciplinary integration in recent years. The authors also highlighted intersections between elements and identified overlooked areas and future research directions. The trends in Figure [not provided] illustrate the dominance of the economics lens, with psychology and sociology lenses surfacing in the mid-1980s but at lower levels and rates of growth. Overall, the synthesis of the literature review provided guiding insights that shaped the subsequent development of an integrative model and highlighted key areas for future research in entrepreneurial team formation.

Key Elements in Entrepreneurial Team Formation

The paper provides a comprehensive summary of key elements in entrepreneurial team formation literature. It discusses the origins of new venture teams, specifically focusing on the lead entrepreneur origin and the group approach. Formation strategies for entrepreneurial teams are categorized as interpersonal attraction and resource-seeking strategies, with the emphasis on complementary capabilities and shared values. Contexts of entrepreneurial team formation are explored, including settings such as academic entrepreneurship, employee entrepreneurship, user entrepreneurship, family businesses, and accelerator programs. The role of social networks and the sociocultural environment in team formation is also highlighted. The paper addresses the dynamism of the team formation process, considering membership changes and the process end markers such as legal incorporation and talent acquisition. Team characteristics, such as diversity, equity distribution, leadership, and structural boundaries, are analyzed in detail. Moreover, the consequences of entrepreneurial team formation for team processes, including coordination and specialization, are explored, emphasizing their impact on team performance. The paper concludes by discussing various performance indicators associated with successful entrepreneurial team formation, highlighting the importance of milestones, product development, pitches, and transition phases in evaluating venture performance.

Disciplinary Perspectives for Examining Entrepreneurial Team Formation

The research paper delves into the interdisciplinary perspectives of economics, psychology, and sociology in the study of entrepreneurial team formation. The economics lens focuses on resource assembly through human capital, agency theory, and resource-based views, emphasizing the instrumental rationality of team formation and the emphasis on resource seeking strategy. The psychology lens explores the influence of personal, motivational, and cognitive characteristics on entrepreneurial activities, with a focus on interpersonal attraction and social categorization/identity theories in explaining formation strategies. The sociology lens emphasizes the role of social ties

and social structure in team formation, using homophily and social capital theory to examine how social networks influence the formation of entrepreneurial teams. The paper highlights that the siloed research rooted in separated disciplinary lenses has led to mixed findings and disciplinary "ground truth." Each lens offers unique insights into entrepreneurial team formation, with potential for further integration to enhance understanding in this area of study.

ENTREPRENEURIAL TEAM FORMATION: AN INTEGRATIVE VIEW

The paper discusses entrepreneurial team formation, challenging the traditional sequential input-process-output framework by presenting an integrative model that focuses on the dynamic and iterative nature of the formation process. The authors propose that legal incorporation should be used as an end marker for the formation process due to its symbolic significance and pragmatic implications. Entrepreneurial team formation involves the use of distinct formation strategies such as interpersonal attraction and resource-seeking strategies, which are influenced by the underlying context. The process may require multiple iterations, leading to cofounder entry and exit and shaping team characteristics, processes, and performance. The dynamism of the formation process, influenced by various elements and their interrelations, leads to insights regarding the duality of formation strategies and the role of contextual factors like settings and social networks. Overall, the paper provides a comprehensive analysis of entrepreneurial team formation and its implications for cofounder dynamics and contextual influences.

A Cross-Disciplinary Integration: Duality of Formation Strategies and Implications for Cofounder Entry and Exit during Entrepreneurial Team Formation

This section of the research paper introduces a model of entrepreneurial team formation that integrates theories and mechanisms from economics, psychology, and sociology. The goal is to provide a holistic view and understand the formation strategies and implications for cofounder entry and exit. The model focuses on combining two primary strategies - interpersonal attraction and resource-seeking - into a dual formation strategy, addressing the trade-offs and potential ways in which these strategies can complement each other. The model further explores the origins of the new venture team, with a specific focus on the lead entrepreneur. By comparing and contrasting assumptions, mechanisms, and relationships from different disciplinary lenses, the paper aims to offer insights into the complex process of entrepreneurial team formation in a comprehensive and integrated manner.

Group of founders

The research paper discusses the processes involved in forming entrepreneurial teams and how the strategies for selecting co-founders can impact team characteristics, processes, and venture performance. It highlights two primary cofounder selection strategies: interpersonal attraction and resource-seeking. Interpersonal attraction prioritizes connecting with similar individuals to facilitate coordination-related processes, while resource-seeking focuses on acquiring resources and monetary incentives to build a team with high functional and informational diversity. The paper suggests that a combination of both strategies, known as a hybrid formation strategy, can lead to the necessary team characteristics and processes for superior performance. It also emphasizes the importance of considering both cofounder entry and exit during the team formation process, as the

sole reliance on a resource-seeking strategy may lead to cofounder exits and subsequent implications for venture performance. The paper also touches on the potential benefits of sequential shifts in strategies, with a focus on addressing deficiencies through temporal changes. Furthermore, it mentions findings related to turnover rates and stability in teams formed based on different strategies. Overall, the paper highlights the significance of considering both interpersonal attraction and resource-seeking strategies in cofounder selection to enhance team performance and longevity.

A Cross-Context Integration: Contingencies between Context and Formation Strategies with Implications for Dynamic Iterations during Entrepreneurial Team Formation

The research paper explores the intersection of contextual factors and entrepreneurial team formation strategies. It emphasizes the significant influence of context on the formation process, demonstrating how social networks and settings shape the selection of founders and the subsequent strategies employed for team formation. The paper highlights the implications of different contextual factors, such as academic institutions, accelerators, family businesses, and industry spinouts, on the dynamics of the formation process, including triggers, intensity, and duration of iterations. It also discusses the impact of context on founding team characteristics and processes, emphasizing how certain team characteristics may be dictated by the context rather than deliberate search. The paper concludes by advocating for a holistic and interdisciplinary approach to understanding entrepreneurial team formation and recommends potential future research avenues in this area.

Need for Integration across Elements, Disciplines, Contexts, and Levels of Analyses

The section emphasizes the need for integration across elements, disciplines, contexts, and levels of analyses in the study of entrepreneurial team formation. First, the authors discuss the integration of elements in a process view, urging future research to adopt a longitudinal perspective to understand the linkages between elements and the role of feedback and iterations. They propose a process perspective of entrepreneurial team formation, suggesting that opportunities depend on interactions among team members and other stakeholders. The section also highlights the importance of integrating disciplinary lenses, such as economics, psychology, and sociology, to examine team formation strategies and the interplay of various elements. Furthermore, the authors stress the significance of integrating contexts, suggesting that research should explore team formation within multiple contexts and investigate how they affect the formation process. Finally, the section advocates for the integration of levels of analysis, calling for research that considers how individual characteristics and behaviors influence team-level dynamics and performance. Overall, the section emphasizes the importance of integrating various elements, disciplines, contexts, and levels of analyses in entrepreneurial team formation research to gain a comprehensive and holistic understanding of the process.

Selection and Endogeneity of (Entrepreneurial) Teams

The section discusses the endogeneity of entrepreneurial team formation, emphasizing the need for future research to shift focus to selection processes and acknowledge the endogeneity of the

formation process outcomes. It presents a modified model for entrepreneurial teams, highlighting the significance of self-selection for the endogeneity of founding team characteristics, processes, and venture performance. The paper suggests that future research should embrace a selection view, incorporating different assumptions and methodologies to study the processes through which the team forms. Additionally, it emphasizes the importance of a temporal perspective and how team characteristics and processes are affected by cofounder selection, calling for research to shed light on how decisions made during the formation process impact the entire spectrum from formation to evolution. Furthermore, the paper suggests that understanding the endogeneity of outcomes can help reconcile inconsistent findings in the broader entrepreneurship literature and contribute to the team literature in organizational behavior. It proposes that embracing endogeneity of outcomes can shed light on how initial formation processes can trigger, foster, or diminish compositional and dynamic features in teams, highlighting the need for a more dynamic view of team formation.

Methodological Challenges and Opportunities

The section highlights methodological challenges and opportunities in studying the entrepreneurial team formation process. One challenge is the reliance on pre-assigned teams and archival secondary data, which makes it difficult to study the formation process. Contextual factors also impact the manifestation of founding team characteristics, posing generalizability concerns. The lack of advanced causal methods and absence of large samples hinder the study of team formation. However, there is promise for identifying associative and causal relationships given decreases in implementation costs. The paper recommends a multimethod approach, including recent methodological advances such as randomized controlled trials (RCTs) and leveraging information technology for data collection. It also emphasizes the importance of partnerships with incubators and accelerators for data collection. Better measurements and RCTs can increase the external and internal validity of studies, but challenges in implementing them in entrepreneurial environments are acknowledged. The section concludes by emphasizing the need for well-crafted empirical studies and carefully reasoned theories to create and validate useful knowledge on entrepreneurial team formation, providing guidance to future researchers.

CONCLUSIONS

The paper discusses the potential benefits of studying entrepreneurial team formation by integrating research from various disciplines such as economics, psychology, and sociology. It emphasizes the complexity and dynamism of this phenomenon and its significant influence on subsequent outcomes. The article provides an integrative model by synthesizing different approaches to studying entrepreneurial team formation. Emphasizing the temporal aspect, the paper suggests that team formation unfolds over time, necessitating a process perspective. The study highlights the potential for future research in this critical stage of new venture creation and suggests that it could shift current thinking in related research on entrepreneurial teams. The paper also presents theoretical and methodological opportunities and challenges in the study of entrepreneurial team formation and proposes promising directions for future research. It emphasizes that the avenues mentioned in the paper may only scratch the surface and encourages further endeavors to better understand how team formation contributes to entrepreneurial success.